

Food worth Rs 58,000 crore is wasted every year because even after 20 years of debate India has failed to create the infrastructure needed to enable the farm-to-fork revolution

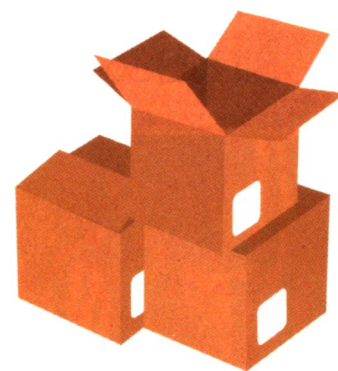
clarity and investment in infrastructure to support the logistics chain, it has only occupied seminar space. "Retail came in with a bang riding on the prosperity of Indians and swanky stores with huge capex were set up," says Vikram Puri, CEO, Mahindra's agri-service arm Mahindra Shubhlabh Services. But getting the produce to reach the stores the next morning is easier said than done, given the policy bottlenecks.

Clearly, developing logistics support will be a priority for the new government. It will not only reduce wastage but also spur growth, generate jobs and create incomes in semi-rural areas. According to official sources, a fast-paced growth of the food industry is expected to generate an additional Rs 4,40,000 crore or \$100 billion worth of opportunities by 2014. There is a need for \$50 billion of capital investment, a big part of which will go towards plants and machinery. Although \$10 billion will come from the government, the rest is industry opportunity, according to the Parliamentary Standing Committee on Agriculture. But first, issues of procurement have to be addressed. Farmers have been denied a reasonable price for years. The new model Agriculture Produce Marketing Committee (APMC) Act enacted in 2007, though, allows the setting up of private markets, yards and direct purchase centres where farmers can sell their produce directly to industry at remunerative prices. They can also buy a contract with a corporate to grow the required crop in return for a good price.

There is no uniform implementation of the Act though. Only 15 states have adopted the model law. In fact, states like Bihar do not have an APMC Act at all.

The quick and uniform implementation of the Act also becomes important if India wants to address problems in the processing stage of the value chain. Under contract farming, farmers can grow processable varieties of food which would cut down wastage and boost exports. Only 2.2 per cent of fruit and vegetables get processed compared to 30 per cent in countries like Thailand, 65 per cent in the US, 78 per cent in the Philippines and 23 per cent in China. "The wastage is as much as 60 per cent," says Goutam Sanyal, joint secretary, Food Processing Ministry. "The processing level of milk is 35 per cent, meat 21 per cent and poultry products 6 per cent," he adds.

Developing processable varieties, however, takes intensive research and development which, in turn, needs funds. But much of the research in government institutes like the Indian Council of Agricultural Research is carried out in isolation, out of sync with market requirements. With no separate target fixed for lending to food and agro-based processing industries within the priority sector lending, funds come at the whims of the financial sector. Modern storage facilities are needed to ensure that food retains its value by the time it reaches the dinner table. But India lacks cold chain facilities that are needed to prolong the shelf life of the produce. Though setting up of a cold



MARKETING & RETAILING

End-to-end solutions to deliver higher incomes to farmers and better prices to consumers require opening up investment in retail and supply-chain systems. But for over a decade governments have vacillated over a comprehensive policy for retail preferring to inject piecemeal reforms by stealth.



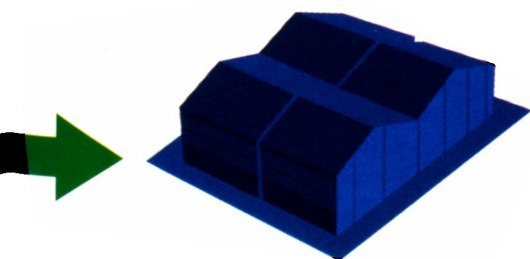
LOGISTICS AND TRANSPORT

The Warehousing Development and Regulation Bill, 2007, was meant to encourage firms to set up warehousing facilities. But inability to sort out delays in land acquisition is keeping back modern warehouses.



STORAGE

More than 30 per cent of the produce from the fields is lost due to poor post-harvesting facilities and lack of cold chain infrastructure. India has merely 21.7 mt cold storage facilities whereas it needs at least 9-10 mt more of capacity.



Graphics by SAURABH SINGH